SOLE PROPRIETOR TAX TEST CASES 2026-27 (India FY 2025-26)

20 Sectors - Query Input → Expected Output Format

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1. RETAIL & TRADING (Kirana/Pharmacy)

Test Case 1.1: Kirana Store - Presumptive Taxation (Section 44AD)

```

Input: "I am a solo proprietor kirana store with turnover of ₹80 Lakh. 50% transactions via UPI. Can I opt for presumptive tax?"

Expected Output:

✅ Eligible for 44AD (turnover < ₹3Cr)

✅ Deemed profit: ₹5.6 Lakh (40L×6% digital + 40L×8% cash)

✅ Final tax: ₹0 (under rebate limit)

✅ File ITR-4 by Jul 31

Verification: Correct 6%/8% split applied

```

Test Case 1.2: Pharmacy - Threshold Edge Case

```

Input: "Pharmacy turnover ₹2.5 Cr, 92% digital receipts. Presumptive scheme applicable?"

Expected Output:

❌ Ineligible (₹2-3Cr range requires ≥95% digital)

✅ Use regular books + audit

✅ Or show actual profit < deemed profit

Verification: Correct 95% digital threshold mentioned

```

Test Case 1.3: Clothing Store - New Regime Slabs

```
```

Input: "Clothing store actual profit ₹15 Lakh. What tax under new regime?"

Expected Output:

0-4L: ₹0

4-8L: ₹20K

8-12L: ₹40K

12-15L: ₹45K

Total: ₹1.05L + cess = **₹1.09 Lakh**

Verification: New regime slabs correctly applied

```

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## **2. FOOD & BEVERAGE (Cafe/Restaurant)**

**Test Case 2.1: Cafe - Composition + 44AD**

```

Input: "Cafe turnover ₹60 Lakh (60% digital). Using GST composition 5%. Tax calculation?"

Expected Output:

✓ 44AD: ₹4.08L profit (36L×6% + 24L×8%)

✓ Income tax: ₹0

✓ GST: 5% composition = ₹3 Lakh

✓ Total tax: **₹3 Lakh**

Verification: GST composition + 44AD combined

```

**Test Case 2.2: Tiffin Service - Cash Heavy**

```

Input: "Tiffin service ₹35 Lakh, only 20% digital. Can I use 44AD?"

Expected Output:

✓ Eligible 44AD

✓ Deemed profit: ₹3.24L (7L×6% + 28L×8%)

✓ Tax: ₹0

Verification: Higher 8% rate correctly applied

```

**Test Case 2.3: Bakery - Opt-out Penalty**

```

Input: "Bakery used 44AD 4 years, now showing ₹2 Lakh actual profit on ₹28 Lakh turnover. Can I?"

Expected Output:

✗ Penalty u/s 44AD(4): Cannot use 44AD for next 5 years

✓ Must maintain books + audit if profit < deemed

Verification: 5-year lockout rule applied

```

***

## **3. PROFESSIONAL SERVICES (44ADA)**

**Test Case 3.1: Web Developer - 44ADA Limit**

```

Input: "Freelance developer receipts ₹80 Lakh. Can use 44ADA?"

Expected Output:

✗ Exceeds ₹75L limit for 44ADA

✓ Use regular books or 44AD (if eligible business)

Verification: ₹75L professional limit correctly identified

```

**Test Case 3.2: Consultant - TDS Credit**

```

Input: "Consultant ₹40 Lakh billing, clients deducted 10% TDS. 44ADA tax?"

Expected Output:

✓ Deemed profit: ₹20L (50%)

✓ Gross tax: ₹1.39L

✓ TDS credit: ₹4L

✓ **Refund: ₹2.61L**

Verification: TDS adjustment shown

```

**Test Case 3.3: CA - Old vs New Regime**

```

Input: "CA earning ₹25 Lakh. NPS ₹50K, 80C ₹1.5L. Which regime better?"

Expected Output:

New regime: ₹2.11L tax

Old regime: ₹1.45L tax (after deductions)

✓ **Old regime saves ₹66K**

Verification: Regime comparison done

```

***

## **4. PERSONAL SERVICES (Salon/Yoga)**

**Test Case 4.1: Salon - Client Advances**

```

Input: "Salon ₹25 Lakh turnover includes ₹5 Lakh advance. 44AD calculation?"

Expected Output:

✓ Turnover excludes advances = ₹20L

✓ Deemed profit: ₹1.38L

✓ Tax: **₹0**

Verification: Advances excluded from turnover

```
```

Test Case 4.2: Advance Receipt Rule

```

Input: "Yoga classes ₹3 Lakh advance received March 2026 for April classes. Include in FY25-26?"

Expected Output:

✓ Exclude from FY25-26 turnover

✓ Include in FY26-27 when service provided

Verification: Advance receipt timing rule

```

***

5. REPAIR SERVICES

Test Case 5.1: Mobile Repair - Spares Stock

```

Input: "Mobile repair ₹35L labour + ₹15L spares sold. 44AD profit?"

Expected Output:

✓ Total turnover: ₹50L

✓ Deemed profit: ₹3L

✓ **Actual spares expense irrelevant**

Verification: Total turnover basis confirmed

```

***

6. EDUCATION SERVICES

Test Case 6.1: Coaching - Books Expense

```

Input: "Coaching ₹50L fees, spent ₹12L on books. 44ADA or actual?"

Expected Output:
```

✓ 44ADA: ₹25L profit → ₹2.11L tax

✓ Actual: ₹38L profit → ₹3.45L tax

✓ **44ADA saves ₹1.34L**

Verification: Presumptive benefit shown

```

***

## **7. AGRICULTURE**

**Test Case 7.1: Dairy Farm Exemption**

```

Input: "Dairy ₹20L milk sales + ₹5L cow dung. Taxable?"

Expected Output:

✓ Milk: Exempt u/s 10(1)

✓ Dung: Business income → 44AD

✓ **Net tax: Minimal**

Verification: Agri vs business income split

```

***

## **8. E-COMMERCE**

**Test Case 8.1: Amazon - TCS Credit**

```

Input: "Amazon seller ₹1Cr sales. Platform deducted 1% TCS. 44AD tax?"

Expected Output:

✓ Deemed profit: ₹6L

✓ Tax: ₹15K

✓ TCS credit: ₹1L

✓ **Refund: ₹85K**

Verification: TCS credit mechanism

```

***

## **9. NEW TAX REGIME SLABS (All Sectors)**

**Test Case 9.1: Slab Verification**

```

Input: "New regime slabs FY 2025-26?"

Expected Output:

0-4L: 0%

4-8L: 5%

8-12L: 10%

12-16L: 15%

16-20L: 20%

20-24L: 25%

>24L: 30%

✓ **Tax-free up to ₹12L**

Verification: Exact slab rates quoted

```

***

## **10. ADVANCE TAX SCHEDULE**

**Test Case 10.1: Quarterly Payment**

```

Input: "Annual tax ₹2 Lakh. Advance tax due dates?"

Expected Output:

Jun 15: ₹30K (15%)

Sep 15: ₹90K cumulative (45%)

Dec 15: ₹1.5L cumulative (75%)

Mar 15: ₹2L final (100%)

Verification: Correct quarterly percentages

```

***

**✅ COMPLETE TEST SUITE READY**

**Copy → Word → PDF → Share with team** 📋

# **SOLE PROPRIETOR TAX TEST CASES 2026-27 (India FY 2025-26)**

## **SECTORS 11-20: Query Input → Expected Output Format**

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## **11. TRANSPORTATION SERVICES (Taxi/Delivery)**

**Test Case 11.1: Taxi Driver - Digital Payments**

```

Input: "I drive Uber/Ola, turnover ₹40 Lakh, 75% digital payments. Can I use 44AD?"

Expected Output:

✅ Eligible for 44AD (turnover < ₹3Cr)

✅ Deemed profit: ₹2.6 Lakh (30L×6% + 10L×8%)

✅ Final tax: **₹0** (under rebate limit)

✅ Fuel expenses irrelevant under 44AD

Verification: Correct 6%/8% digital split applied

```
```

Test Case 11.2: Delivery Service - Threshold

```

Input: "Swiggy delivery ₹55 Lakh, 85% digital. Presumptive tax?"

Expected Output:

✓ Deemed profit: ₹3.47 Lakh

✓ Taxable income: ₹4.22 Lakh

✓ Final tax: **₹0**

✓ No books/audit required

Verification: Transport business correctly classified under 44AD

```

Test Case 11.3: Courier Service - Cash Receipts

```

Input: "Local courier ₹22 Lakh, 60% cash payments. 44AD calculation?"

Expected Output:

✓ Deemed profit: ₹1.49 Lakh (13.2L×6% + 8.8L×8%)

✓ Final tax: **₹0**

Verification: Higher 8% rate for cash receipts correctly applied

```

***

12. HEALTH & WELLNESS (Physio/Nutritionist)

Test Case 12.1: Physiotherapist - 44ADA Limit

```

Input: "Physiotherapy clinic ₹45 Lakh receipts. Can use 44ADA?"

Expected Output:

✓ Eligible (under ₹75L limit)

✓ Deemed profit: ₹22.5 Lakh (50%)
```

✓ Final tax: **₹1.8 Lakh**

✓ TDS 10% credit applicable

Verification: Professional service correctly under 44ADA

```

**Test Case 12.2: Nutritionist - Old vs New Regime**

```

Input: "Nutritionist ₹28 Lakh, health insurance ₹25K deduction. Which regime?"

Expected Output:

New regime: ₹62K tax

Old regime: ₹45K tax (after 80D)

✓ **Old regime saves ₹17K**

Verification: Deduction comparison shown

```

**Test Case 12.3: Yoga Instructor - Advance Payments**

```

Input: "Yoga classes ₹18 Lakh includes ₹3L March advance for April. Include in FY25-26?"

Expected Output:

✓ Exclude ₹3L advance from FY25-26

✓ Turnover: ₹15 Lakh → Deemed profit: ₹7.5L

✓ Tax: **₹0**

Verification: Advance payment timing rule correctly applied

```

***

## **13. EVENT MANAGEMENT**

**Test Case 13.1: Wedding Planner - High Turnover**

```

Input: "Wedding planner ₹65 Lakh, 70% digital. 44AD eligible?"

Expected Output:

✅ Deemed profit: ₹4.29 Lakh

✅ Final tax: **₹0**

✅ Client advances excluded from turnover

Verification: Service business under 44AD confirmed

```

**Test Case 13.2: DJ Services - Equipment Depreciation**

```

Input: "DJ ₹38 Lakh billing, bought ₹2L equipment. Can claim depreciation?"

Expected Output:

✅ Under 44AD: **No depreciation allowed**

✅ Deemed profit: ₹2.62 Lakh → Tax **₹0**

✅ Actual profit method: Depreciation allowed but higher tax

Verification: Presumptive scheme restriction explained

```

**Test Case 13.3: Decorator - Cancellation Refunds**

```

Input: "Event decorator ₹22 Lakh includes ₹2L cancelled event refund. Turnover?"

Expected Output:

✅ Exclude refunds → Turnover: ₹20 Lakh

✅ Deemed profit: ₹1.38 Lakh → Tax **₹0**

Verification: Refund exclusion from turnover confirmed

```

***

## **14. SMALL MANUFACTURING**
```

Test Case 14.1: Candle Making - Raw Materials

```

Input: "Candle making ₹70 Lakh sales, ₹30L raw materials. 44AD profit?"

Expected Output:

✅ **Raw material costs irrelevant**

✅ Total turnover ₹70L → Deemed profit: ₹4.76L

✅ Tax: **₹0**

Verification: Total sales basis under 44AD confirmed

```

Test Case 14.2: Soap Manufacturing - GST Composition

```

Input: "Soap making ₹45 Lakh, want GST composition 1%. Income tax?"

Expected Output:

✅ GST: 1% composition = ₹45K

✅ 44AD profit: ₹2.93L → Income tax **₹0**

✅ Total tax: **₹45K**

Verification: GST + Income tax combined correctly

```

Test Case 14.3: Agarbatti - Export Income

```

Input: "Agarbatti ₹55L (₹20L export). Presumptive tax?"

Expected Output:

✅ Total turnover ₹55L (exports included)

✅ Deemed profit: ₹3.85L → Tax **₹0**

Verification: Export turnover included in 44AD confirmed

```

***

15. HANDICRAFTS & ARTISAN WORK

Test Case 15.1: Paper Bag Manufacturing

```
Input: "Paper bags ₹38 Lakh, 70% digital. 44AD?"
Expected Output:
✅ Deemed profit: ₹2.51 Lakh → Tax **₹0**
✅ Eligible for artisan schemes
Verification: Manufacturing under 44AD confirmed
```

Test Case 15.2: Jute Products - Government Subsidy

```
Input: "Jute bags ₹25 Lakh sales + ₹2L subsidy. Turnover?"
Expected Output:
✅ Subsidy **not** turnover → ₹25L basis
✅ Deemed profit: ₹1.6L → Tax **₹0**
Verification: Subsidy exclusion confirmed
```

***

16. CLEANING SERVICES

Test Case 16.1: Home Cleaning - Labor Costs

```
Input: "Home cleaning ₹32 Lakh, pay ₹15L to workers. 44AD profit?"
Expected Output:
✅ **Labor costs irrelevant** under 44AD
```

✓ Deemed profit: ₹2.01L → Tax **₹0**

Verification: Expense irrelevance under presumptive scheme

```

**Test Case 16.2: Commercial Cleaning - Contract Value**

```

Input: "Office cleaning annual contract ₹28 Lakh. Include full amount?"

Expected Output:

✓ **Full contract value** as turnover

✓ Deemed profit: ₹1.91L → Tax **₹0**

Verification: Contract accounting under 44AD

```

***

## **17. PET CARE SERVICES**

**Test Case 17.1: Pet Grooming - Membership Fees**

```

Input: "Pet grooming ₹35 Lakh includes ₹5L annual memberships. Turnover?"

Expected Output:

✓ Include **full membership fees**

✓ Deemed profit: ₹2.31L → Tax **₹0**

Verification: Membership fees treatment confirmed

```

***

## **18. GRAPHIC DESIGN & DIGITAL SERVICES**

**Test Case 18.1: Freelance Designer - 44ADA Limit**
```

```

Input: "Graphic designer ₹48 Lakh. Eligible for 44ADA?"

Expected Output:

✓ Under ₹75L limit → Deemed profit ₹24L

✓ Tax: **₹2.01 Lakh**

Verification: Professional limit correctly applied

```

***

19. CLOUD KITCHEN

Test Case 19.1: Zomato Swiggy Orders

```

Input: "Cloud kitchen ₹85 Lakh, 95% aggregator payments. Tax?"

Expected Output:

✓ Deemed profit: ₹5.19L → Tax **₹0**

✓ GST 5% composition eligible

Verification: Aggregator payments = digital receipts

```

***

20. CATERING SERVICES

Test Case 20.1: Wedding Catering - Advances

```

Input: "Catering ₹120 Lakh includes ₹15L booking advances. 44AD?"

Expected Output:

✓ Exclude advances → Turnover ₹105L

✓ Deemed profit: ₹6.93L → Tax **₹2.5K**
```

Verification: Advance exclusion from turnover confirmed

```

***

## **SUMMARY: ALL 20 SECTORS**

```

✓ 95% cases = TAX ₹0 (under ₹12L rebate)

✓ 44AD/44ADA = NO BOOKS, NO AUDIT

✓ Digital payments = 6% vs 8% cash (save 33%)

✓ File ITR-4 by **July 31, 2026**

✓ Advance tax: Jun15(15%) | Sep15(45%) | Dec15(75%) | Mar15(100%)

```
```